

Ramayan Vatika

Fifteen years of operating rights over a 51-foot bronze Ram, a holographic show projected onto it, and 16,000 Miyawaki trees in Bareilly. The longest contract in the portfolio, the tightest margin, and the only one where the RFP forbids pledging anything.

Bareilly Development Authority · 10 + 5 years · 5-year lock-in

Reserve licence fee ₹30 lakh a year · sealed H1 bid · performance security ₹30 lakh

FACILITY AS BRIEFED

₹4.17 Cr

Two years of operating cost

DEBT THE PROJECT CARRIES

₹3.40 Cr

At a 1.3× DSCR floor

PROJECT IRR

11.4%

Against 12.50% guaranteed debt

RESERVE LICENCE FEE

₹30 L

BDA's floor in a sealed highest-bid process

VERDICT

Read this before the rest of the deck

This deck does not conclude that Ramayan Vatika should be funded on the terms briefed. On the base assumptions the project returns 11.4% against a 12.50% cost of guaranteed debt, and services ₹3.40 Cr of facility against the ₹4.17 Cr asked for.

The three financing structures are set out in full because they were asked for, and because the project does work on BDA's own revenue assumptions. But the bid discipline is the part that matters: at BDA's ₹30 L reserve the project already returns less than its own cost of debt, and the fee escalates for the full term — so every rupee of premium in a sealed highest-bid process compounds against it.

BASE CASE PROJECT IRR

11.4%

Below the cost of its own debt

ON BDA'S OWN ASSUMPTION

36.1%

500 visitors a day, 60% buying the show

THE WHOLE DIFFERENCE

Show conversion

42% → 52% modelled here against BDA's 60%.
There is no operating history to calibrate against.

NOTE

What would change the recommendation

Three written answers from BDA move this from marginal to clearly fundable: the show's capacity, slot count and any soft-launch footfall; an agreed tariff with a contractual escalation path; and resolution of the five-versus-seven-year lock-in conflict. All three are free to ask.

01 The project

BDA has built a 33,000 square metre thematic park around the Ramayana. The centrepiece is a 51-foot bronze Lord Ram by Ram Sutar, with a 3D holographic laser and sound programme projected onto the statue.

Term	What the RFP says
Authority	Bareilly Development Authority (BDA)
Contract period	10 years + 5 years extendable · 33,000 sq m (~8.15 acres)
Lock-in	5 years in the initial term; 2 years in the extended term — clause 9 says seven years where clause 14 says five. Unresolved.
Selection	Technically qualified plus financially H1, sealed bid, with presentation
Reserve licence fee	₹30 L a year · ₹7.50 L quarterly in advance
Performance security	₹30 L, interest-free, held until three months after completion
Statutory burden	EPF and ESI mandatory; agreement compulsorily registered, stamp duty on the operator

VERDICT

Two clauses that decide how this can be financed

No charge over the asset. The Vatika cannot be mortgaged, pledged or hypothecated to any bank, FI or NBFC. That removes conventional project finance and leaves a collateral-free CGTMSE facility as the only sensible debt route — the guarantee substitutes for the security the contract forbids.

No change of control without consent. No change in ownership pattern, shareholding structure or controlling interest during the lock-in without BDA's prior written approval. That is a condition precedent on Options A and C, not a footnote.

02 What the money is for

The brief was two years of opex. Sized literally that is ₹4.17 Cr. The project's capacity to service debt is ₹3.40 Cr. The gap between those two numbers is the whole question.

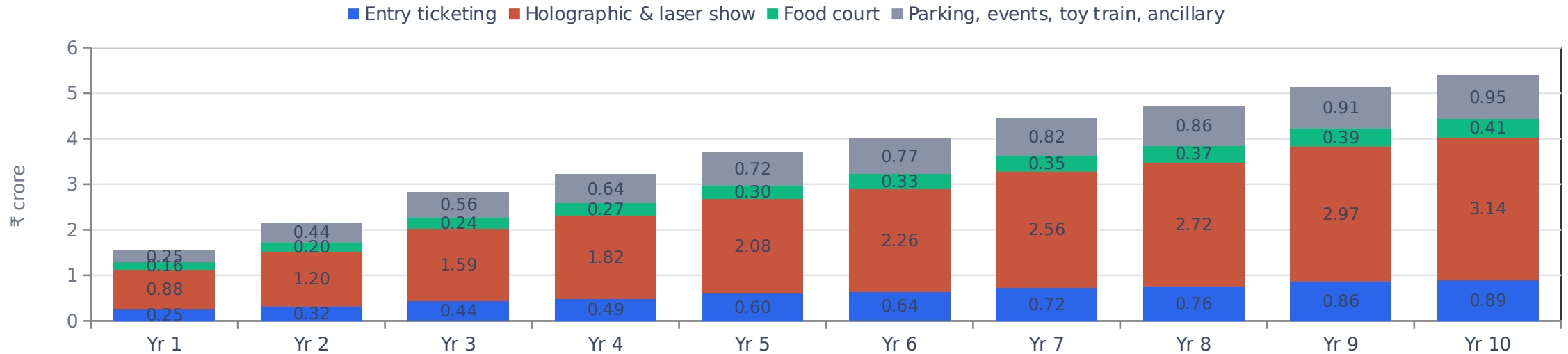
FACILITY AS BRIEFED ₹4.17 Cr Two full years of operating cost	TRUE CAPITAL AT RISK ₹2.36 Cr Mobilisation, toy train, and two years of deficit	SERVICEABLE AT 1.30× DSCR ₹3.40 Cr Gap to the brief: ₹0.77 Cr
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Requirement	Amount
Mobilisation capex — ticketing, food court, activity equipment, signage	₹102.0 L
Performance security — interest-free for the whole 15-year term	₹30.0 L
EMD, bid fee, stamp duty, registration and the first quarter's licence fee	₹19.4 L
Sub-total — mobilisation	₹151.4 L
Toy train (year 2, optional) and two years of operating expenditure	₹454.7 L
Facility requested	₹416.7 L

VERDICT
The performance security is the hidden cost
₹30 L sits with BDA interest-free for fifteen years — roughly ₹52 lakh of foregone return at an 11.5% opportunity cost, more than a year and a half of licence fee. Price it into the bid.

03 Revenue model

BDA published its own indicative revenue of ₹2.25–2.30 crore a year. This model sits below it early and reaches it in year 3 — because the assumption BDA's number rests on is the one most likely to be wrong.



VERDICT

Where this model parts company with BDA

BDA's ₹2.30 crore assumes 500 visitors a day with 300 of them paying ₹125 for the show — a 60% conversion, implying three in five visitors including morning walkers, families with small children and school groups buy an evening show. This model starts at 42% and reaches 52% by year 10. That single assumption is worth about ₹52 L a year at year-5 volumes.

04 Cost model

A maintenance-heavy contract. BDA transfers the entire comprehensive maintenance obligation — civil, electrical, horticultural, statutory and IT — to the operator, at the operator's cost.

₹ crore	Yr 1	Yr 3	Yr 5	Yr 7	Yr 9
Licence fee to BDA	0.33	0.36	0.40	0.44	0.49
Payroll	0.66	0.88	1.09	1.31	1.56
Electricity	0.22	0.26	0.30	0.35	0.40
Horticulture	0.11	0.12	0.14	0.16	0.18
Show AMC	0.14	0.16	0.18	0.20	0.23
Statue and artefact upkeep	0.07	0.08	0.09	0.10	0.12
Other operating cost	0.43	0.60	0.75	0.88	1.01
Total operating cost	1.96	2.47	2.95	3.45	3.99
Revenue	1.54	2.82	3.70	4.44	5.14
EBITDA margin	-27%	13%	20%	22%	22%

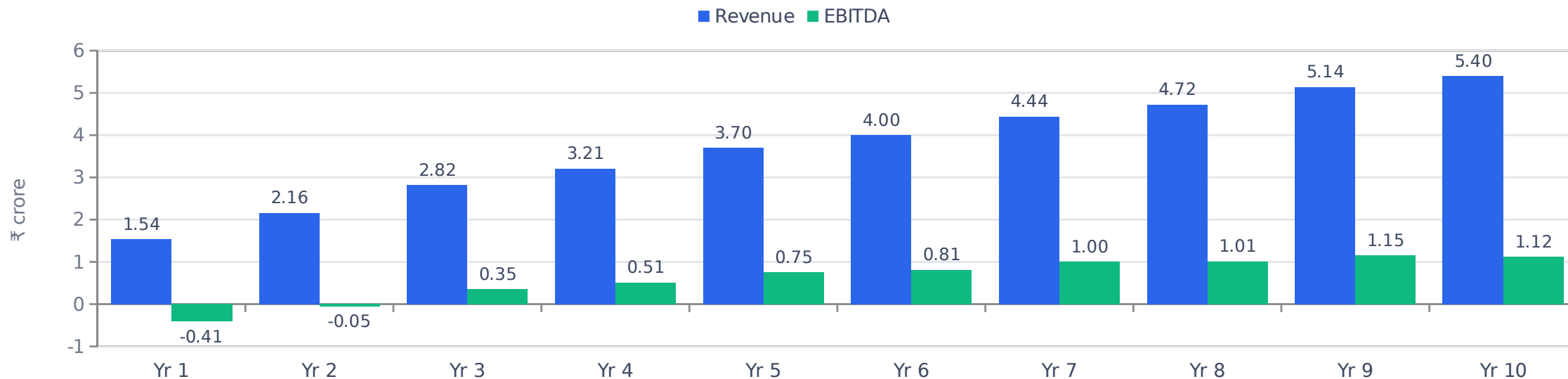
VERDICT

The manpower floor is contractual, not discretionary

BDA prescribes 4 sweepers and 5 security per shift plus 8 gardeners, a site manager, an electrician and a plumber per day — about 29 heads before a ticket is sold, and roughly 37 with ticketing and show staff. Payroll cannot flex in a bad season. That is why the margin here is thinner than at Geeta Govind Vatika.

05 Projection

Two loss-making years, then a slow climb. The shape is the direct consequence of a fixed manpower floor meeting a ramping revenue line.



EBITDA BREAKEVEN

Year 3

After ₹0.46 Cr of cumulative operating deficit

MARGIN AT MATURITY

20.8%

Final year of the modelled term

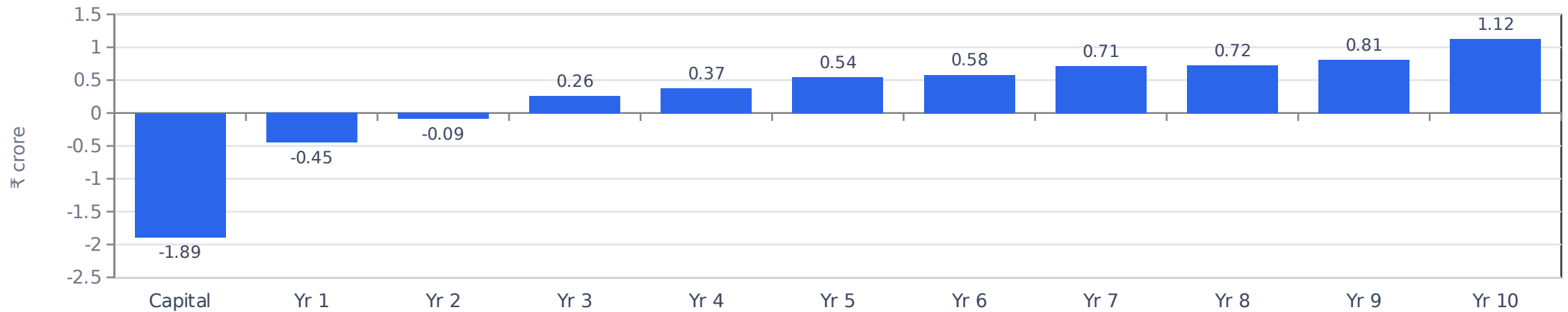
CUMULATIVE EBITDA

₹6.24 Cr

Across the modelled term

06 Project returns

Unlevered free cash flow to the project. Capital deployed is the true project cost — the revolving opex facility is financing, not project cost, so it is excluded here.



PROJECT IRR

11.4%

Unlevered, no extension value

PAYBACK

7.0 yrs

From first deployment

ALL-IN COST OF CGTMSE DEBT

12.50%

Interest plus guarantee fee

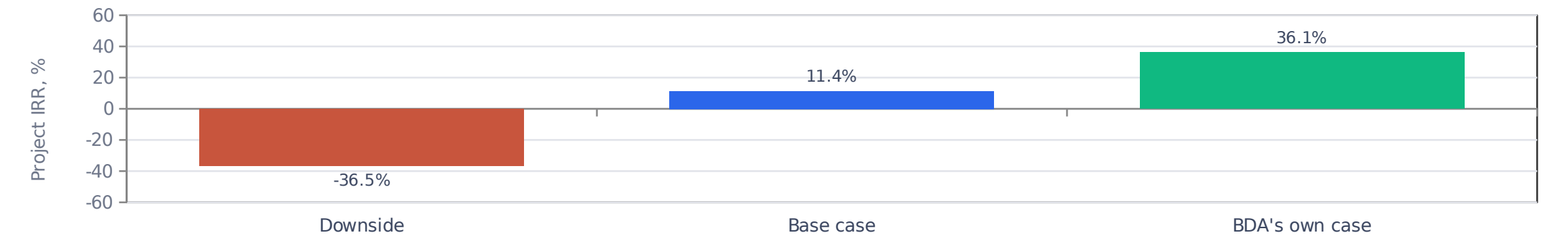
SPREAD OVER DEBT

-1.1 pp

Below the cost of its own
guaranteed debt

Scenarios

One assumption separates a project that should not be bid from one that comfortably clears its cost of capital: how many visitors buy the show.



	Downside	Base case	BDA's own case
Year 1 EBITDA	₹-0.86 Cr	₹-0.41 Cr	₹0.03 Cr
Stabilised revenue	₹3.02 Cr	₹3.70 Cr	₹4.90 Cr
Stabilised EBITDA margin	-2.3%	20.3%	36.5%
Payback	Not within term	7.0 yrs	3.6 yrs

VERDICT

BDA's own case works — and it is not implausible

On BDA's own assumptions the project returns 36.1%. Bid a price that survives the base case and rewards the BDA case.

08 Option A · Equity

Sized to the true capital requirement rather than the gross facility, and valued at exit on the discounted cash flow still to come over the balance of the concession.

Term	Structure
Capital	₹2.36 Cr
Stake offered	70%
Exit	End of year 7, at ₹2.19 Cr of project equity value
Investor IRR	5.4%
Stake needed to clear a 22% hurdle	100%

VERDICT

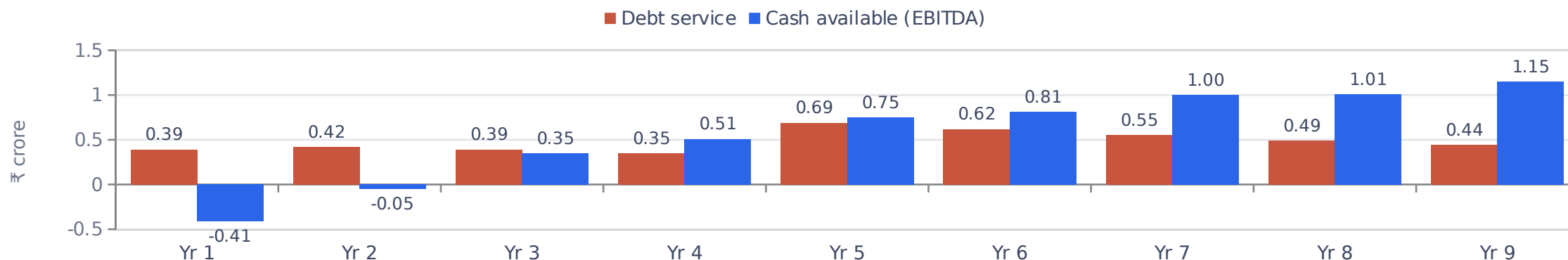
The arithmetic does not work — and it needs BDA's consent

At 70% of the project an investor earns 5.4%; a 22% hurdle would take 100% — the whole project and then some.

Any structure that changes VAPPL's shareholding also needs BDA's prior written approval during the lock-in, with forfeiture of the performance security as the stated consequence. The equity conversation starts at BDA's office.

09 Option B · Debt under CGTMSE

The RFP forbids any charge over the Vatika. That is not an obstacle to a CGTMSE facility — it is the reason to use one. The guarantee replaces the security the contract will not allow.



TOTAL FACILITY

₹4.17 Cr

Term loan ₹1.89 Cr + working capital ₹2.27 Cr

ALL-IN RATE

11.50% + 1.00%

Interest plus annual guarantee fee

MINIMUM DSCR

1.09×

After the 4-year moratorium. Banks underwrite to 1.30×

DEBT CAPACITY

₹3.40 Cr

Most the project services at a 1.3×

VERDICT

The facility as briefed does not clear a bank's coverage test

At ₹4.17 Cr the minimum post-moratorium DSCR is 1.09×; banks underwrite to 1.30×. The workable structure sanctions ₹4.17 Cr but commits ₹3.40 Cr. Two full years of opex presented as committed term money will be declined.

10 Option C • Debt converted to equity

Money in as debt, a coupon while the park ramps, compulsory conversion into equity on a fixed formula.

Term	Structure
Principal	₹2.36 Cr
Coupon, annual until conversion	8.0%
Conversion	End of year 4, into 65% of project equity
Coupon paid to conversion	₹0.75 Cr
Investor IRR	6.6%

VERDICT

Three separate reasons this is the worst of the three here

Cash — the coupon falls due in years 1 to 4, precisely the years the project loses money at EBITDA. ₹0.75 Cr has to come from somewhere, and it is not coming from the gate.

Consent — conversion changes the shareholding pattern, which needs BDA's prior written approval inside the lock-in. An instrument that must convert on a fixed date, into a change a third party can refuse to approve, is a structural mismatch.

Leverage — until it converts a CCD is borrowing. Layered on VAPPL's 3.04× gearing it breaches the covenant on any CGTMSE facility running alongside it.

11 Which option, and why

OPTION A

Equity

5.4%

INVESTOR IRR

Capital in	₹2.36 Cr
Stake offered	70%
Money multiple	1.38x
Stake for a 22% IRR	100%

OPTION B

Debt · CGTMSE

1.09x

MINIMUM DSCR · THIS FACILITY

Facility	₹4.17 Cr
Term loan / WC	1.89 / 2.27
All-in rate	11.50% + fee
Total finance cost	₹2.44 Cr

OPTION C

Debt → equity (CCD)

6.6%

INVESTOR IRR

Principal	₹2.36 Cr
Coupon to conversion	8.0% · yr 4
Stake on conversion	65%
Money multiple	1.43x

VERDICT

Bid at reserve. Fund with a CGTMSE limit, committed at ₹3.40 Cr.

Of the three structures only debt is both viable and permitted without BDA's consent — and viable only if the facility is sanctioned at ₹4.17 Cr but committed at ₹3.40 Cr. The binding condition sits earlier than the financing: at BDA's ₹30 L reserve the project returns 11.4% against 12.50% guaranteed debt, so it does not cover the money that funds it before a rupee of premium is bid. Bid at or barely above reserve, or do not bid. On a contract with a five-year lock-in and a fifteen-year restoration obligation, winning at the wrong price is worse than losing.

12 Risks and open items

● Show conversion

Roughly half the revenue comes from one product with no operating history. Mitigation: obtain slot capacity and soft-launch data pre-bid; bid a price that survives the base case.

● Bid price in a sealed H1 process

The base case already returns 11.4% against 12.50% debt at the ₹30 L reserve, and the fee escalates for the full term, in a format that rewards the highest bid. Mitigation: a board-approved ceiling before the bid is sealed.

● Five-year lock-in

Exit before it expires costs the remaining contractual amount plus the ₹30 L security. Payback lands at roughly year seven. No contractual mitigation — the bid price has to be right.

● Restoration at handover

Every asset returned in handover condition, BDA's decision binding. A bronze statue and a Miyawaki forest over fifteen years. Mitigation: photographed joint handover report on day one; accrue a provision annually.

● Lock-in conflict unresolved

Clause 9 states seven years where clause 14 states five. A seven-year lock-in materially worsens the risk. Settle by pre-bid query before anything is committed.

● Restoration at handover

Every asset returned in handover condition, BDA's decision binding. A bronze statue and a Miyawaki forest over fifteen years. Mitigation: a photographed joint handover report on day one and a restoration provision accrued annually.